Kestrel Outdoor Gear Ltd

Annual Report - Fiscal Year 2025 (year ended 31 December 2025)

FICTIONAL SAMPLE DATA - created for testing FinSight AI. Kestrel Outdoor Gear Ltd is not a real company.

1. Business Overview

Kestrel Outdoor Gear Ltd designs and sells hiking backpacks, tents and waterproof jackets. The company sells through its own website (58% of revenue in fiscal 2025) and through 240 partner retail stores in Europe and North America (42% of revenue).

The company has two segments: Outdoor Equipment (backpacks and tents) and Apparel (jackets and base layers). Outdoor Equipment generated $263.5 million of revenue in fiscal 2025 and Apparel generated $177.7 million.

2. Financial Highlights

Revenue for fiscal 2025 was $441.2 million, an increase of 10.7% from $398.7 million in fiscal 2024. Gross profit rose to $198.2 million, and the gross margin improved to 44.9% from 43.6%, mainly because raw-material prices fell in the second half of the year.

Operating expenses were $112.4 million, up from $101.6 million, driven by higher marketing spend for the new Summit tent range. Net income was $61.9 million, compared with $52.3 million in fiscal 2024.

USD millions	FY2024	FY2025
Revenue	398.7	441.2
Gross Profit	173.8	198.2
Operating Expenses	101.6	112.4
Net Income	52.3	61.9

Cash and cash equivalents at year end were $87.4 million. The company has no long-term debt.

3. Risk Factors

Supplier concentration: about 70% of our fabric comes from two suppliers in Vietnam. A disruption at either supplier could delay production for several months.

Seasonality and weather: around 45% of annual sales happen between October and December. A warm winter can significantly reduce jacket sales.

Currency risk: most costs are in US dollars, but 35% of revenue is earned in euros. A weaker euro reduces reported revenue.

Competition: a large sportswear brand entered the premium tent market in 2025 with lower prices, which may put pressure on our margins.

4. Outlook

For fiscal 2026, management expects revenue growth of 7% to 9% and plans to add a third fabric supplier in Portugal to reduce supplier concentration risk.